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Financial Results
Conference Call

Prepared Remarks From:

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Fourth-Quarter 2025 Financial Results Conference Call

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Operator:

Introduction

M. Keith Waddell, President and Chief Executive Officer, Robert Half:

Hello, everyone. We appreciate your time today.

Before we get started, I would like to remind you that the comments made on today's call contain forward-looking statements, including predictions and estimates about our future performance. These statements represent our current judgment of what the future holds. However, they are subject to risks and uncertainties that could cause actual results to differ materially from the forward-looking statements. These risks and uncertainties are described in today's press release and in our most recent 10-K and 10-Q filed with the SEC. We assume no obligation to update the statements made on today's call.



During this presentation, we may mention some non-GAAP financial measures and reference these figures as “adjusted.” Specifically, we present adjusted revenue growth rates, which remove the impacts on reported revenues from the changes in the number of billing days and foreign currency exchange rates. Additionally, we present adjusted gross margin; adjusted selling, general and administrative expenses; and adjusted operating income by combining the gains and losses on investments held to fund the Company’s obligations under employee deferred compensation plans with the changes in the underlying deferred compensation obligations. Since the gains and losses from investments and the changes in deferred compensation related obligations completely offset, there is no impact on our reported net income. Reconciliations and further explanations of these measures are included in a supplemental schedule to our earnings press release.

For your convenience, our prepared remarks for today’s call are available in the Investor Center of our website, roberthalf.com.

For the fourth quarter of 2025, global enterprise revenues were \$1.302 billion, down 6 percent from last year’s fourth quarter on a reported basis and down 7 percent on an adjusted basis. We are very pleased to see talent solutions and enterprise revenues return to positive sequential growth on a same-day constant currency basis for the first time in over three years. Weekly revenue trends during the quarter continued to show positive momentum, which extended into the first three weeks of January. Our revenues and earnings exceeded the midpoint of our previous fourth-quarter guidance.

Net income per share in the fourth quarter was \$0.32, compared to \$0.53 in the fourth quarter one year ago.

We enter 2026 very well-positioned to capitalize on emerging opportunities and support our clients’ talent and consulting needs through the strength of our industry-leading brand, people, technology and unique business model that includes both professional staffing and business consulting services.

Cash flow provided by operations during the quarter was \$183 million, the highest quarter this year and an 18% increase over Q4 2024. In December, we distributed a 59-cent-per-share cash dividend to our shareholders of record, for a total cash outlay of \$59 million.



Return on invested capital for the Company was 10 percent in the fourth quarter.

Now I'll turn the call over to our CFO, Mike Buckley.

Michael C. Buckley, CFO, Robert Half:

Revenues

Thank you, Keith. Hello, everyone.

As Keith noted, global revenues were \$1.302 billion in the fourth quarter.

On an adjusted basis, fourth-quarter talent solutions revenues were down 9 percent year over year. U.S. talent solutions revenues were \$623 million, down 9 percent from the prior year's fourth quarter. Non-U.S. talent solutions revenues were \$200 million, down 8 percent year over year. We conduct talent solutions operations through offices in the United States and 18 other countries.

In the fourth quarter, there were 61.4 billing days, compared to 61.6 billing days in the same quarter one year ago. The first quarter of 2026 has 61.9 billing days, as did the first quarter of 2025. Billing days for the remaining three quarters of 2026 will be 63.1, 64.6 and 61.1 for a total of 250.7 billing days in the year, the same as the full year of 2025.

Currency exchange rate movements during the fourth quarter had the effect of increasing reported year-over-year total revenues by \$15 million—\$10 million for talent solutions and \$5 million for Protiviti.

Contract talent solutions bill rates for the fourth quarter increased 3.2 percent compared to one year ago, adjusted for changes in the mix of revenues by functional specialization, currency and country. This rate for the third quarter was 3.7 percent.

Now let's take a closer look at results for Protiviti. Global revenues in the fourth quarter were \$479 million: \$373 million of that is from the United States, and \$106 million is from outside the United States. On an adjusted basis, global fourth-quarter Protiviti revenues were down 3 percent versus the year-ago



period. U.S. Protiviti revenues were down 6 percent, while non-U.S. Protiviti revenues were up 9 percent compared to one year ago. Protiviti and its independently owned Member Firms serve clients through locations in the United States and 28 other countries.

Gross Margin

Turning now to gross margin: In contract talent solutions, gross margin was 39.2 percent of applicable revenues in the current quarter, compared to 39.1 percent in the fourth quarter one year ago. Conversion (or contract-to-hire) revenues were 3.2 percent of contract revenues in both the current quarter and in the fourth quarter of 2024.

Our permanent placement revenues were 12.5 percent of consolidated talent solutions revenues in the current quarter, compared to 12.1 percent in the fourth quarter of 2024. When combined with contract talent solutions gross margin, overall gross margin for talent solutions was 46.7 percent of applicable revenues in the current quarter, compared to 46.4 percent in the fourth quarter of 2024.

For Protiviti, gross margin was 21.9 percent of Protiviti revenues in the fourth quarter and 24.9 percent in the fourth quarter one year ago. Adjusted gross margin for Protiviti was 22.8 percent for the quarter just ended, compared to 25.1 percent last year. We ended 2025 with 11,200 full-time Protiviti employees and contractors, up 1.5 percent from the prior year.

Selling, General and Administrative Costs

Enterprise SG&A costs were 35.9 percent of global revenues in the fourth quarter, compared to 34.1 percent in the same quarter one year ago. Adjusted enterprise SG&A costs were 34.6 percent for the quarter just ended, compared to 33.8 percent one year ago.

Talent solutions SG&A costs were 47.6 percent of talent solutions revenues in the fourth quarter, versus 44.4 percent in the fourth quarter of 2024. Adjusted talent solutions SG&A costs were 45.6 percent for the quarter just ended, compared to 43.9 percent last year. We ended 2025 with 7,400 full-time internal employees in talent solutions, down 3.2 percent from the prior year.

Fourth-quarter SG&A costs for Protiviti were 15.7 percent of Protiviti revenues, compared to 15.3 percent for the same quarter one year ago.

Operating Income

Operating income for the fourth quarter was \$22 million. Adjusted operating income was \$43 million in the quarter, or 3.3 percent of revenues. Fourth-quarter adjusted operating income from our talent solutions divisions was \$9 million, or 1.1 percent of revenues. Adjusted operating income for Protiviti in the fourth quarter was \$34 million, or 7.1 percent of revenues.

Income from investments held in employee deferred compensation trusts

Our fourth-quarter 2025 income statement includes a \$21 million gain from investments held in employee deferred compensation trusts. This is completely offset by an equal amount of higher employee deferred compensation costs, which are reflected in SG&A expenses and direct costs. As such, it has no effect on our reported net income.

Tax Rate

Our fourth-quarter tax rate was 32 percent, compared to 28 percent one year ago. The higher tax rate in the current quarter is due to the increased impact of non-deductible expenses relative to lower pre-tax income.

Accounts Receivable

At the end of the fourth quarter, accounts receivable were \$748 million, and implied days sales outstanding (DSO) was 51.8 days.

Guidance

Before we move to first-quarter guidance, let's review some of the monthly revenue trends we saw in the fourth quarter and so far in January, all adjusted for currency and billing days.

Contract talent solutions exited the fourth quarter with December revenues down 8.9 percent versus the prior year, compared to a 9.0 percent decrease for the full quarter. Revenues for the first two weeks of January were down 6.6 percent compared to the same period last year.

Permanent placement revenues in December were down 11.0 percent versus December 2024. This compares to a 5.9 percent decrease for the full quarter.

For the first three weeks in January, permanent placement revenues were down 9.4 percent compared to the same period in 2025.

We provide this information so you have insight into some of the trends we saw during the fourth quarter and into January. But as you know, these are very brief time periods. We caution against reading too much into them.

With that in mind, we offer the following first-quarter guidance:

- Revenues: \$1.260 billion to \$1.360 billion
- Income per share: \$0.08 to \$0.18

Guidance Assumptions

Midpoint revenues of \$1.310 billion are 5 percent lower than the same period in 2025 on an adjusted basis.

Our midpoint revenue guidance for the first quarter reflects continued positive adjusted sequential revenue growth for talent solutions. Our Q1 midpoint adjusted operating margin guidance declines sequentially by 1 percentage point, which is consistent with long-term historical trends. This includes Protiviti's sequential decline of 4 percentage points. Historically, Protiviti's Q1 segment margins seasonally decline by mid-single digit percentage points on a sequential basis. There are two primary drivers. Internal audit revenues are negatively impacted as clients focus instead on annual financial statements and related external audits. In addition, Protiviti employees receive annual compensation adjustments effective January 1, which are recovered through pricing adjustments realized as client contracts are negotiated. Segment margins then improve accordingly.

We estimate our midpoint tax rate for the first quarter to be 56-58%. This is much higher than normal for two reasons: an expected tax charge related to stock compensation, and the magnified impact of non-deductible tax items when measured against seasonally low Q1 pre-tax income. A majority of our employee stock compensation awards vest in the first quarter each year, and the related tax impacts are measured based on the stock price at that time. With the current stock price below grant values, a tax charge estimated at \$4.5 million, or \$0.05 per share, results.

For the remainder of 2026, a quarterly tax rate of 33-35% is expected.



The major financial assumptions underlying the midpoint of these estimates are as follows:

Adjusted Revenue Growth, year-over-year:

Talent solutions:	Down	4%	to		8%
Protiviti:		0%	to	Down	4%
Overall:	Down	3%	to		6%

Adjusted Gross Margin percentage:

Contract talent:		38%	to		40%
Protiviti:		18%	to		21%
Overall:		35%	to		38%

Adjusted SG&A, as a percent of revenues:

Talent solutions:		44%	to		46%
Protiviti:		15%	to		17%
Overall:		33%	to		36%

Adjusted Operating Income, as a percent of revenues:

Talent solutions:		0%	to		3%
Protiviti:		2%	to		5%
Overall:		1%	to		3%

Tax Rate:		56%	to		58%
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Shares:		99 million	to		100 million
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2026 capital expenditures and capitalized cloud computing costs: \$70 million to \$90 million, with \$10 to \$20 million in the first quarter.

All estimates we provide on this call are subject to the risks mentioned in today's press release and in our SEC filings.

Now I'll turn the call back over to Keith.

M. Keith Waddell, President and Chief Executive Officer, Robert Half:

Thank you, Mike.

Our fourth-quarter results reflect a return to sequential growth on a same-day, constant-currency basis for the first time since early 2022. Concerns around a near-term economic downturn have moderated, supported by a more conducive macro environment. Continued progress in the rate-cutting cycle, easing inflation, less regulation and relatively more clarity on trade policy all contribute.

The NFIB Small Business Optimism Index has continued to trend higher, with hiring plans holding steady and labor availability remaining a key constraint. At the same time, the Uncertainty Index declined meaningfully last month, falling to its lowest level since June 2024.

Although hiring and quit rates remain subdued, job openings continue to run well above historical averages, underscoring significant pent-up demand for skilled professionals. Decision timelines are beginning to shorten, and we are seeing increased client engagement as clients revisit postponed initiatives and discuss hiring tied to business-critical priorities.

Internal resource levels at small businesses remain particularly lean as these companies have focused on cost containment for much of the last four years. Employment data from the ADP National Employment Report indicates that between January of 2022 and December of 2025, companies with fewer than 500 employees have grown their employee counts by only 1.1% annually — well below the 2.8% annual growth rate seen among companies with over 500 employees. As project activity begins to pick up, this places additional strain on already limited internal capacity. Against this backdrop — unemployment remaining low and skilled talent in short supply — clients increasingly require specialized expertise to help fill open roles and execute critical work, supporting demand for both our talent solutions and consulting services.

While perspectives on the medium- to long-term structural impact of AI on the labor market vary greatly, most of the evidence suggests a negligible impact so far on our areas of employment, particularly among small businesses. For example, a very recent study by Oxford Economics concludes that “firms don’t appear to be replacing workers with AI on a significant scale, and we doubt that

unemployment rates will be pushed up heavily by AI over the next few years.” Also, feedback from our SMB clients indicates that potential future labor savings from AI are not a material factor in current headcount decisions. That said, as AI reshapes how work gets done and the skills required for many roles evolve, clients are increasingly relying on us to help them navigate change, deploy talent quickly, and support the implementation of new technologies, including the requisite data requirements. At the same time, the fast-growing use of generative AI by job seekers — particularly to tailor their resumes to client opportunities — has made it more difficult for clients to distinguish among candidates and authenticate their qualifications. This further reinforces the value of our services, including our proprietary data on actual candidate performance.

As expected, Protiviti’s year-over-year growth rates showed improvement in the quarter, although it continued to be impacted by tougher prior-year comparables from large project builds, and by longer sales cycles and smaller-sized new engagements. Protiviti’s pipeline remains strong across all of its major solutions areas, and at the midpoint of our Q1 revenue guidance, its growth rates are expected to continue to improve. Our strategic engagement of contract professionals via our talent solutions divisions plays an essential role in Protiviti’s success and further amplifies our unique, enterprise-wide competitive advantage. Protiviti was recently recognized on Glassdoor’s Best Places to Work list for a third consecutive year.

We begin 2026 energized by our time-tested corporate purpose — to connect people to meaningful and exciting work and provide clients with the talent and consulting expertise they need to confidently compete and grow. We have weathered many economic cycles in the past, each time emerging to achieve higher peaks. Aging workforce demographics and clients’ desire for flexible resources and variable costs are structural tailwinds that are expected to propel us forward in the years to come.

Finally, we’d like to thank our global workforce for their continued dedication. Their efforts once again earned Robert Half recognition by *Fortune*® as one of the World’s Most Admired Companies™ for the 29th consecutive year. We are proud of our unique position as the only company in our industry to be awarded this distinction for nearly three decades. We were also recognized as

one of Forbes' World's Top Companies for Women and chosen by Newsweek as one of America's Most Responsible Companies.

Now, Mike and I would be happy to answer your questions. Please ask just one question and a single follow-up, as needed. If there's time, we'll come back to you for additional questions.

Q&A Session

M. Keith Waddell, President and Chief Executive Officer, Robert Half:

That was our last question. Thank you for joining us today.

Operator:

This concludes today's teleconference. If you missed any part of the call, it will be archived in audio format in the Investor Center of Robert Half's website at roberthalf.com. You also can dial the conference call replay. Dial-in details and the confirmation code are contained in the Company's press release issued earlier today.